

E-Commerce RFM Customer Segmentation

Executive Summary

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Dataset: Online Retail Dataset (Kaggle) | Tools: Python, PostgreSQL

Data Period: December 2010 to December 2011

1. Business Overview

Total Revenue	£8,887,209
Total Customers	4,338
Average Customer Spend	£2,049
Countries Covered	38
Data Period	Dec 2010 — Dec 2011

2. Customer Segment Analysis

Segment	Customers	Avg Spend	Revenue Share
Champion	957	£6,052	65.17%
Loyal Customer	764	£1,828	15.71%
At Risk	643	£1,241	8.98%
Lost	1,229	£478	6.61%
Potential Loyalist	426	£396	1.90%
New Customer	319	£455	1.63%

3. Key Findings

Finding 1 — UK Market Dominates Revenue

More than 80% of total revenue comes from the United Kingdom. This means the business is heavily dependent on a single market. Any disruption in the UK would have a major impact on overall performance.

Finding 2 — November is the Peak Sales Month

Revenue increases significantly every November due to holiday shopping. This pattern repeats every year and can be planned for in advance. The business should prepare stock and marketing campaigns 6 weeks before November.

Finding 3 — Champions Drive 65% of All Revenue

Only 957 Champion customers are responsible for 65.17% of total revenue. This small group is extremely valuable. Losing even a few of them would seriously impact business performance.

Finding 4 — Large At Risk and Lost Customer Base

1,229 customers are Lost and 643 are At Risk — together over 43% of all customers. These customers used to buy regularly but have stopped. This points to a gap in the customer retention strategy.

4. Business Recommendations

1. Protect Champion Customers

These 957 customers generate £5.79M in revenue. The business should offer them exclusive discounts, early product access, and personalised communication to keep them engaged.

2. Win Back At Risk Customers

643 customers previously bought often but have gone quiet recently. A targeted email with a 15-20% discount offer could recover a significant portion of their previous spending.

3. Convert New Customers into Repeat Buyers

319 new customers bought recently but only once. Sending a follow-up email within 7 days of first purchase with product recommendations can increase the chance of a second order.

4. Reduce Dependence on the UK Market

Over 80% revenue from one country is a risk. Netherlands and Germany both show strong secondary revenue potential and should be targeted with localised marketing campaigns.

5. Prepare Early for November

November is consistently the highest revenue month every year. Stock preparation, email campaigns, and promotions should be planned and ready at least 6 weeks in advance.

5. Conclusion

This RFM analysis segments 4,338 customers into six groups based on their real buying behaviour — how recently they bought, how often they buy, and how much they spend. The analysis shows that value is highly concentrated: Champions and Loyal Customers together contribute over 80% of revenue from less than 40% of the customer base. The immediate business priority should be to protect these high-value customers while running a structured re-engagement campaign for the At Risk segment. Over the longer term, reducing dependence on the UK market and improving new customer retention will build a stronger and more stable revenue base.

End of Report